

CH4

1. Revenues and expenses accounts, which are closed at the end of each accounting period are:

- A. Real accounts.
- B. Temporary accounts.
- C. Closing accounts.
- D. Permanent accounts

ANS:B

2. Which of the following statements is incorrect?

- A. Permanent accounts is another name for nominal accounts.
- B. Temporary accounts carry a zero balance at the beginning of each accounting period.
- C. The Income Summary account is a temporary account.
- D. Real accounts remain open as long as the asset, liability, or equity items recorded in the accounts continue in existence.

ANS:A

3. Assets, liabilities, and equity accounts are not closed; these accounts are called:

- A. Nominal accounts.
- B. Temporary accounts.
- C. Permanent accounts.
- D. Contra accounts.

ANS:C

4. Closing the temporary accounts at the end of each accounting period does all of the following *except*:

- A. Serves to transfer the effects of these accounts to the owner's capital account on the statement of financial position.
- B. Prepares the withdrawals account for use in the next period.
- C. Gives the revenue and expense accounts zero balances.
- D. Has no effect on the owner's capital account.

ANS:D

5. Journal entries recorded at the end of each accounting period to prepare the revenue, expense, and withdrawals accounts for the upcoming period and to update the owner's capital account for the events of the period just finished are referred to as:

- A. Adjusting entries.
- B. Closing entries.
- C. Final entries.
- D. Work sheet entries.

ANS:B

6. The recurring steps performed each reporting period, starting with analyzing and recording transactions in the journal and continuing through the post-closing trial balance, is referred to as the:

- A. Accounting period.
- B. Operating cycle.
- C. Accounting cycle.
- D. Closing cycle.

ANS:C

7. A classified statement of financial position:

- A. Measures a company's ability to pay its bills on time.
- B. Organizes assets and liabilities into important subgroups.
- C. Presents revenues, expenses, and net profit.
- D. Reports operating, investing, and financing activities.

ANS:B

8. The assets section of a classified statement of financial position usually includes:

- A. Current assets, long-term investments, property, plant and equipment, and intangible assets.
- B. Current assets, long-term assets, revenues, and intangible assets.
- C. Current assets, long-term investments, property, plant and equipment, and equity.
- D. Current assets, liabilities, property, plant and equipment, and intangible assets.

ANS:A

9. The current ratio:

- A. Is used to measure a company's profitability.
- B. Is used to measure the relation between assets and long-term debt.
- C. Measures the effect of operating income on profit.
- D. Is used to help evaluate a company's ability to pay its debts in the near future.

ANS:D

10. A company had revenues of \$75,000 and expenses of \$62,000 for the accounting period. The owner withdrew \$8,000 in cash during the same period. Which of the following entries could not be a closing entry?

- A. Debit Income Summary \$13,000; credit Owner's, Capital \$13,000.
- B. Debit Income Summary \$75,000; credit Revenues \$75,000.
- C. Debit Revenues \$75,000; credit Income Summary \$75,000.
- D. Debit Income Summary \$62,000, credit Expenses \$62,000.

ANS:B

11. The J. Godfrey, Capital account has a credit balance of \$17,000 before closing entries are made. If total revenues for the period are \$55,200, total expenses are \$39,800, and withdrawals are \$9,000, what is the ending balance in the J. Godfrey,

Capital account after all closing entries are made?

A. \$8,000. B. \$15,400. C. \$23,400. D. \$17,000.

ANS:C

12. The Income Summary account is used:

- A. To adjust and update asset and liability accounts.
- B. To close the revenue and expense accounts.
- C. To determine the appropriate withdrawal amount.
- D. To replace the income statement under certain circumstances.

ANS:B

13. Dina Kader withdrew a total of \$35,000 from her business during the current year. The entry needed to close the withdrawals account is:

- A. Debit Income Summary and credit Cash for \$35,000.
- B. Debit Dina Kader, Withdrawals and credit Cash for \$35,000.
- C. Debit Income Summary and credit Dina Kader, Withdrawals for \$35,000.
- D. Debit Dina Kader, Capital and credit Dina Kader, Withdrawals for \$35,000.

ANS:D

14. At the beginning of the year, a company's statement of financial position reported the following balances: Total Assets = \$125,000; Total Liabilities = \$75,000; and Owner's Capital = \$50,000. During the year, the company reported revenues of \$46,000 and expenses of \$30,000. In addition, owner's withdrawals for the year totaled \$20,000. Assuming no other changes to owner's capital, the balance in the owner's capital account at the end of the year would be:

A. \$66,000. B. \$86,000. C. \$(4,000). D. \$46,000.

ANS:D

15. After preparing and posting the closing entries to close revenues (and gains) and expenses (and losses), the income summary account has a debit balance of \$33,000.

The entry to close the income summary account will include:

- A. a debit of \$33,000 to owner withdrawals.
- B. a credit of \$33,000 to owner withdrawals.
- C. a debit of \$33,000 to income summary.
- D. a debit of \$33,000 to owner capital.

ANS:D

16. A trial balance prepared after the closing entries have been journalized and posted is the:

- A. Unadjusted trial balance.
- B. Post-closing trial balance.
- C. General ledger.
- D. Adjusted trial balance.

ANS:B

17. Temporary accounts include all of the following except:

- A. Consulting revenue.
- B. Withdrawals.
- C. Rent expense.
- D. Prepaid rent.

ANS:D

18. Permanent accounts include all of the following *except*:

- A. Accumulated Depreciation - Equipment.
- B. Prepaid Rent.
- C. Unearned Consulting Revenue.
- D. Depreciation Expense - Equipment.

ANS:D

19. Bentley records adjusting entries at its December 31 year end. At December 31, employees had earned \$12,000 of unpaid and unrecorded salaries. The next payday is January 3, at which time \$30,000 will be paid. Prepare the January 1 journal entry to reverse the effect of the December 31 salary expense accrual.

- A. Debit Salaries expense \$12,000; credit Salaries payable \$12,000.
- B. Debit Salaries expense \$18,000; debit Salaries payable \$12,000; credit Cash \$30,000.
- C. Debit Salaries payable \$18,000; credit Cash \$18,000.
- D. Debit Salaries payable \$12,000, credit Salaries expense \$12,000.

ANS:D